International Management: Cultural and country differences

Behaviours in different cultures - Hofstede

Five dimensions of behaviour

- Individualism – tasks are more important than relationships.
- Collectivism – Relationships are more important than task orientation.
- Small power distance – society less accepting of power. Less emphasis on authority.
- Large power distance – Society accepts unequal distribution of power. Respect for authority.

International Management: Cultural and country differences

- Uncertainty avoidance – Afraid of ambiguity and uncertainty.
- Uncertainty tolerance – people accept uncertainty and are open to risk taking.
- Masculinity – Aggressive and assertive behaviour. Materialistic.
- Femininity – Relationship-oriented. Quality of life is favoured.
- Long-term orientation – characterised by hard work and perseverance. Savings-driven.
- Short-term orientation – Less emphasis on hard work and perseverance. Consumption-driven.

International Management and Multinational Corporations

- International Management focusses on the operation of international firms in host countries.
- **MNCs** have their headquarters in one country but operate in many countries. E.g., SBI.
- **Global or Transnational Companies** view the whole world as one market. E.g., Shell, Toyota.

International Management and Multinational Corporations

- **European Union** – 1992 – single market in Europe through free movement of goods, people, service, and capital.
- **NAFTA (North American Free Trade Agreement)** – US, Canada, Mexico – eliminate trade barriers and facilitate cross border movement of goods and services, increase investment, and mechanisms to resolve disputes.
- **Mercusor** – Argentina, Brazil, Bolivia, Chile, Paraguay, and Uruguay.
- **FTAA (Free Trade Area of the Americas)** – Caribbean, and central and south American countries.
- **ASEAN (Association of Southeast Asian Nations)** – 10 countries – Brunei Darussalam, Cambodia, Indonesia, Laos, Malaysia, Myanmar, the Philippines, Singapore, Thailand, and Vietnam.
- **BRICS** – for foreign investment strategies.
- **QUAD** – Response to growing Chinese economy.

Management Style in selected countries

- **France:** Preference for civil service over private-service – higher pay, shorter hours, more holidays, better pension, more bonuses, almost complete job security, and other perks.
- **Germany:** Law in 1951 provided codetermination – a labour director, representing the interests of the employees, is elected as a member of the executive committee.
- **Korea:** A tight collusion between government and industrial conglomerates.
- **Japan:** lifetime employment, consensus decision-making.

Mission or purposes

A vision statement describes an organization's long-term goals, while a mission statement describes how the organization will achieve those goals

Vision statement

- Describes what an organization hopes to achieve. For example, "To be the world's leading online retailer".

Mission statement

- Describes how an organization will achieve its goals. For example, "To provide our customers with the most convenient shopping experience".

Starbucks – “to build a company with soul.”

- Mission statement

  - Employees treating each other with dignity.

  - Enjoying diversity in the workplace, reflecting the local community.

  -Having high standards for coffee.

  -Being a good member of the community, and

  -Being profitable.

Mission Statement of Some Organizations

RINL-Mission

- To attain 20 Mt liquid steel capacity through technological up-gradation, operational efficiency and expansion; augmentation of assured supply of raw materials; to produce steel at international Standards of Cost & Quality; and to meet the aspirations of stakeholders.

The State Bank of India's (SBI) mission

- To enhance the quality of life for people through its financial solutions and social initiatives.

Mission Statement of Some Organizations

IIM Bodh Gaya

- To develop mindful leaders of business and social relevance in the global economy and enhance academic excellence in learning practices and research.

IIT Kanpur

- Create a dynamic learning environment
- Develop sustainable research solutions for the nation
- Build bridges between academia, industry, and society
- Encourage entrepreneurial spirit and skills
- Nurture leadership qualities with a sense of commitment and accountability
- Inculcate values and ethics in thought, expression, and deed

MBO

- MBO integrates managerial activities to achieve organizational and individual objectives
- MBO is practiced through performance appraisal system
- Other integrated subsystems
  - Human resource planning & development (staffing)
  - Career planning (progression)
  - Reward system (paying for performance)

Strategies & Policies

- Strategy – the long-term objectives of an enterprise
- Policies – General statements that guide managers in decision-making

Industry Analysis – Porter's 5 forces

Situation Analysis – TOWS matrix

Portfolio Matrix (BCG Matrix) – For allocating resources

Industry Analysis – Porter's 5 force analysis

Threat of New Entrants (High/Low)

Bargaining power of suppliers

Rivalry among existing competitors

Bargaining power of buyers

Threat of substitutes (High or low)

<u>The TOWS matrix</u>
<u>A modern tool for analysis of the situation</u>

- WT (Mini-Mini) – form a JV, retrench, or liquidate.
- WO(Mini-Maxi) – develop weaker areas within the enterprise or acquire the needed competencies from outside to take advantage of opportunities in the external environment.
- ST(Maxi-Mini) – The company may use its technological, financial, managerial, or marketing strengths to cope with the threats of a new product introduced by its competitor.
- SO (Maxi-Maxi) – The company capitalizes on its strengths to take advantage of its opportunities.

The TOWS matrix
A modern tool for analysis of the situation

- Porter – **Red ocean strategy** – Strengths & Threats (ST) – lower cost
- Porter – **Blue ocean strategy** – Strengths & Opportunities (SO) – Weakness & Opportunities (WO) - product differentiation
- **Mix of both** the strategies – e.g., “Lexus” – Luxury Exports to the US.

Industry Analysis – Porter's 5 force analysis

- Cost leadership strategy – aims at reduction in cost.
- Differentiation strategy – offering something unique in terms of products or services.
- Hamel & Prahalad (1989)- Strategic Intent is the commitment to win the competitive environment.

    e.g., Komatsu vs caterpillar, Canon vs Xerox.